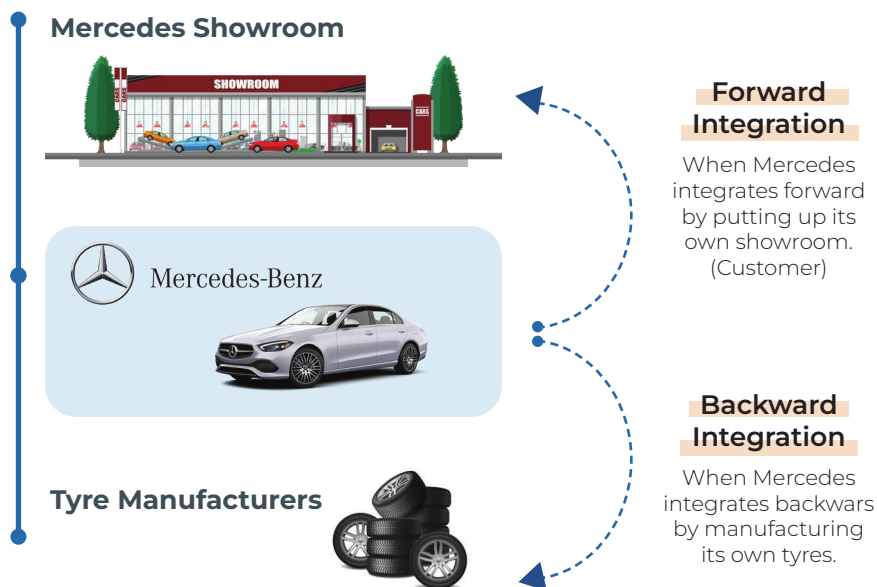


Can the Buyers Threaten to Vertically Integrate into Business?

(Yes/No)

Buyers can threaten to vertically integrate into business, but this comes at a cost. If the buyers can backward integrate and replace the supplier firm, they stand to gain significant bargaining power over the industry. The buyers can constantly pressurise the suppliers to not increase the prices or they themselves may backward integrate.



Payment Power With Buyers

Buyer power can be judged by the terms of credit given. A long credit period would allow buyers to expand, but a short credit period would limit this growth. The buyer who can negotiate favorable credit terms has higher bargaining power over the industry.

